

Business&economy **CELLPHONES**

the last few years, sales of such phones reached 2.5 million handsets per month. Typically, features like a touchscreen, MP3 or a QWERTY keypad have meant shelling out Rs 10,000 or more. But these cheap phones that come out of China's original design and manufacturing factories have been giving tough competition to large multinational players. As is evident, commoditisation has happened even for design and technology development for mobile phones, making it easy for Indian companies to import them for branding.

Seeing an opportunity, Indian companies have now decided to jump on to the bandwagon by launching Indian brands, which only repackage these Chinese mobile phones. From hardware manufacturers to consumer durables, everyone's getting into this business. It makes business sense from revenue growth point of view. Explaining its entry into the mobile phone business, Venugopal Dhoot, chairman and managing director of Videocon Group, says: "Mobile phones are today an integral part of more than 500 million people and growing, and Videocon intends to be amongst the top three in this space in a year's time."

Indian companies are customising phones produced by Chinese factories to Indian specifications. From music phones to easy-to-use handsets targeted at senior citizens, a host of variations are being offered by more than 30 players at affordable prices over

Micromax

The Delhi-based company has been manufacturing wireless phones and equipment since 1991

Price range Rs 1,500 to Rs 5,000

USP
Offers smart phones at Rs 5,000 price point. A recent hot-seller is the MTV music phone

Competes against Other Indian and global brands like LG and Samsung

Reach Available at 45,000 retail outlets across India

"We are not price warriors. There is a void in the market caused by a gap between aspiration and availability and Micromax seeks to bridge it."

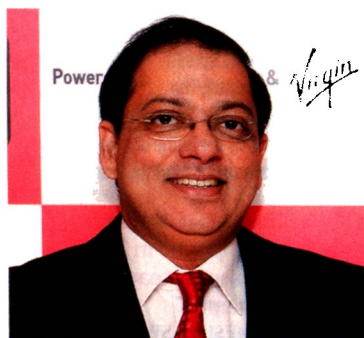
VIKAS JAIN, Business Director, Micromax Mobile

the last one year. With low import duties on mobile handsets, several players are getting into the branded handset market.

So what's driving so many Indian companies to sell mobile phones? It isn't as if other cheaper brands have not come and burnt their fingers in India in the past. India's teledensity levels—70 per cent in urban areas and 16 per cent in rural areas—make it a very attractive market for operators as well as handset companies. With a host of new operators offering services in India in recent times, the penetration of mobile telephony will only improve in times to come and consequently demand for more handsets. While this may be the business case for Indian companies to jump in, there is another key reason that Indian consumers are willing to shift loyalties from established multinational companies to Indian brands.

Despite being around in India for over a decade, large MNCs have not captured the pulse of the Indian mobile phone user as some of these Indian companies have. From small innovations like big screens and louder sound reception to launching phones with higher battery life and multiple SIM options, Indian companies are trying much harder to please the demanding Indian consumer, like the Big Series phone by Spice Mobile. Says Rajiv Agarwal, CEO of The Mobile Store: "A phone is an accessory today

and consumers want the latest features at affordable prices. Though there are several Indian brands that have launched phones, we only stock our own private label Ray along with two others. We are being a little careful in choosing what brand we stock in our store." So, features that were hitherto only available in expensive phones like MP3, QWERTY keypad and touchscreens are now also available at sub-Rs 5,000 levels. In order to hook the consumers, the companies are launching phones which are fully



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